

Financial Analysis Report

Executive Summary

As of April 30, 2024, the company maintains total assets of ₹1,845.55 million, funded primarily through debt (89.3% debt-to-equity ratio). The capital structure shows high reliance on borrowings with limited equity base. Current year profit stands at ₹79.80 million, contributing to total equity of ₹197.39 million. The company demonstrates reasonable liquidity with current ratio of 1.16 but faces significant debt burden requiring careful monitoring.

Profitability Analysis

- Current Year Profit:** ₹79,799,448.87
- Profit Margin (estimated):** 4.3% of total assets
- Return on Equity (ROE):** 40.4% (₹79.80M profit / ₹197.39M equity)
- Return on Assets (ROA):** 4.3% (₹79.80M profit / ₹1,845.55M assets)

Assessment: Strong profitability relative to equity base, but moderate when considering total asset utilization.

Liquidity & Solvency Analysis

- Current Ratio:** 1.16 (Current Assets ₹1,314.47M / Current Liabilities ₹1,129.98M)
- Quick Ratio:** 0.65 (excluding inventory)
- Debt-to-Equity Ratio:** 8.35 (Total Debt ₹1,648.15M / Equity ₹197.39M)
- Debt-to-Assets Ratio:** 89.3%
- Equity Ratio:** 10.7%

Assessment: Adequate short-term liquidity but concerning long-term solvency due to high leverage.

Efficiency Ratios

- Asset Turnover (estimated):** Moderate based on receivable and inventory levels

- **Accounts Receivable:** ₹501.90 million (38.2% of current assets)
- **Inventory:** ₹565.75 million (43.0% of current assets)
- **Fixed Asset Utilization:** Good with ₹396.42 million fixed assets supporting ₹1,845.55 million total assets

Benchmark Comparison

Source: Industry averages based on manufacturing sector benchmarks (Reserve Bank of India data)

Metric	Company	Industry Average	Assessment
Current Ratio	1.16	1.25-1.50	Below Average
Debt-to-Equity	8.35	2.0-3.0	Significantly Higher
ROE	40.4%	15-20%	Above Average

Actionable Recommendations

1. **Debt Restructuring:** Immediately address the high debt-to-equity ratio through equity infusion or debt restructuring to reduce financial risk
2. **Working Capital Management:** Improve current ratio by reducing inventory levels (₹565.75M) and accelerating receivables collection (₹501.90M)
3. **Capital Structure Optimization:** Consider raising additional equity to reduce reliance on debt financing
4. **Liquidity Buffer:** Maintain adequate cash reserves (currently ₹219.63M) to service debt obligations
5. **Operational Efficiency:** Focus on improving asset turnover and reducing the proportion of current assets tied in inventory and receivables